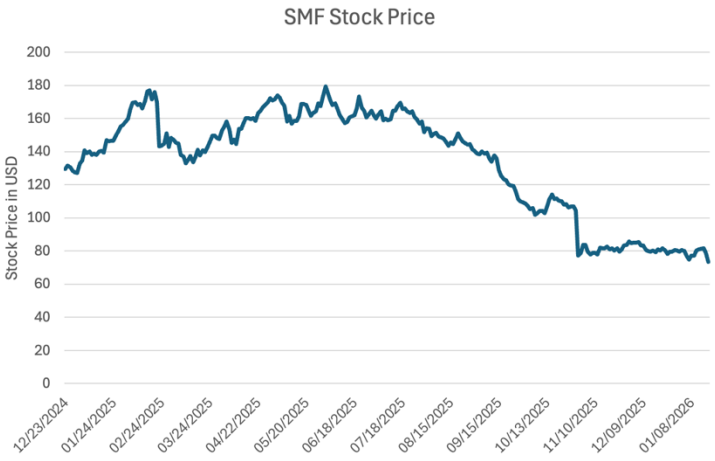
# Sprouts Farmers Market

SPROUTS FARMERS MARKET

Investment Rating: Strong Buy | Current Price: $80.3 | Investment Horizon: Medium-Term ( 12-24 months) | Target Price : $114 | Upside: 42.5% | Risk Rating: Medium




Market Cap: **7,906 B**
LTM EPS: **5.22**
P/E: **15.38**
EV/EBIDTA LTM: **7.79x**
EV/EBIT LTM: **11.18x**
Beta: **0.68**

Revenue 2024:**7,719**
Revenue LTM: **8,653**
NI 2024: **380**
NI LTM: **513**
All in millions USD

## Overview

Q2 Results

The company delivered a **strong third quarter**, with **net sales increasing 13% year over year to $2.2 billion**, supported by **comparable store sales growth of 5.9%**. Profitability improved meaningfully, as **diluted EPS rose to $1.22 from $0.91** in the prior-year period, reflecting operating leverage on higher sales. Store expansion continued during the quarter, with the company opening **nine new locations**, bringing the total store base to **464 stores across 24 states** as of September 28, 2025. From a balance sheet and liquidity perspective, the company entered into a new **$600 million revolving credit facility** with terms largely consistent with its prior agreement. It ended the quarter with **$322 million in cash and cash equivalents** and **no outstanding borrowings** under the revolver. Capital allocation remained shareholder-friendly, with authorization of a **new $1 billion share repurchase program** and **$50 million deployed toward share repurchases** during the quarter. Year-to-date, the company generated **$577 million in operating cash flow** and invested **$194 million in capital expenditures**, net of landlord reimbursements.

FY Guidance

For full-year fiscal 2025, the company expects **net sales growth of approximately 14%**, supported by **comparable store sales growth of roughly 7%** and continued unit expansion. Management guided **EBIT to a range of $675–$680 million**, reflecting sustained operating leverage on higher sales volumes. **Diluted earnings per share are projected at $5.24–$5.28**, indicating solid year-over-year earnings growth. The company plans to open **approximately 37 net new stores** during the year, reinforcing its expansion strategy. Capital investment remains elevated, with **capital expenditures (net of landlord reimbursements) expected to range from $230–$250 million**, supporting new store openings and ongoing infrastructure investments.

Investment Thesis

Sprouts Farmers Market appears materially undervalued following a sharp share price decline in 2025, driven by a temporary earnings miss and cautious guidance. Despite near-term pressure, the company remains well positioned to capture market share through continued store expansion and sustained demand for healthy and organic food. Its differentiated farmers-market format and ability to offer premium products at competitive prices support a resilient long-term growth profile. Under conservative valuation assumptions of 5% revenue growth and normalized capital spending, the analysis implies a target price of approximately **$126**, suggesting meaningful upside from current levels.

# Company Summary

Sprouts Farmers Market is a health-focused grocery retailer founded in 2002 in Arizona. Since its founding, the company has expanded to more than **464 stores across over 24 states**.

Sprouts designs its stores to resemble a traditional farmers market while maintaining operational efficiency for customers. The company focuses on offering healthy food options, with an emphasis on organic products, items with minimal chemical processing, and specialty offerings such as gluten-free and plant-based products. Sprouts generally does not sell many traditional grocery items commonly associated with less healthy consumption, such as conventional sodas. The company's founding objective was to create a grocery store where customers could purchase healthy food without needing to be highly affluent.

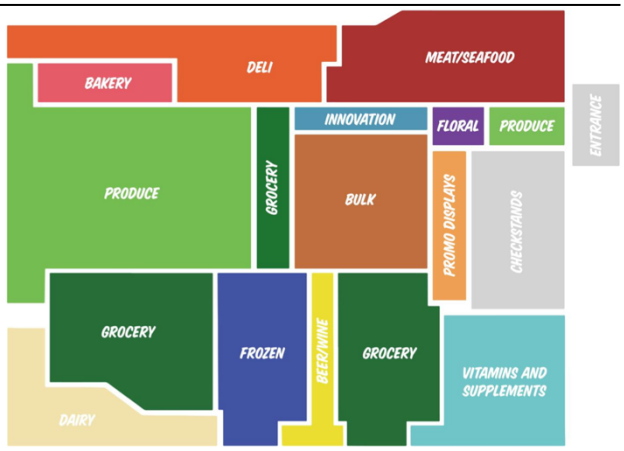
Sprouts targets health enthusiasts and selective shoppers who prioritize better-for-you, organic, and high-quality food and who value how food fits into a healthy lifestyle. This customer base spans a wide range of ages and income levels. The company sees significant growth opportunities by expanding share of wallet through differentiated products and a strong in-store experience.

## Store Format & Merchandising Strategy

Sprouts' stores follow a "flipped" conventional grocery retail model, positioning fresh produce at the center of the store and surrounding it with a complete grocery assortment. Approximately **20% of selling square footage** is dedicated to produce, an increase from 15% in 2018 and a level that Sprouts states is significantly higher than many peers.

Stores are designed with open layouts and low displays to create an easy-to-shop environment that allows customers to view most of the store from a single vantage point, reinforcing the farmers market atmosphere. As of 2024, Sprouts' stores averaged approximately **28,000 square feet**, while newer store formats introduced from 2021 onward are smaller, ranging from **21,000 to 25,000 square feet**. These newer store prototypes are less expensive to build and generally operate at lower costs.

Figure 2: Sprouts store design, 2024 fiscal year 10K




## Product Mix

For fiscal year 2024, **57.3%** of Sprouts' product mix consisted of perishable items, including produce, meat, seafood, deli, bakery, floral, dairy, and dairy alternatives. The remaining **42.7%** of products were non-perishable items, including grocery, vitamins, bulk items, frozen foods, beer and wine, and natural and body care products.

## Supply Chain & Distribution

The company operates **six produce distribution centers**, with two located in California and one each in Arizona, Texas, Colorado, and Florida. Approximately **80% of Sprouts' stores are located within 250 miles of a distribution center**, supporting supply chain efficiency, product freshness, and service levels.

## Strategy

Sprouts' long-term growth strategy focuses on driving profitable and sustainable growth by deepening engagement with its core health-conscious and selective shopper customer base. This strategy is supported by a differentiated assortment of fresh and better-for-you products and a full omnichannel offering.

Growth is expected to be driven by disciplined market expansion, with an emphasis on smaller, higher-return store formats and geographic expansion aligned with supply chain capabilities. The company targets approximately **10% annual unit growth** over the long term. Additional growth initiatives include strengthening supply chain infrastructure, enhancing customer engagement and personalization through increased use of data analytics and digital tools, and continued investment in technology to improve inventory management, decision-making, and scalability.

Management also emphasizes financial discipline and margin expansion, supported by talent development initiatives and ongoing measurement against key long-term financial and operational metrics.

# Industry Overview

The organic food market has expanded steadily over the past decade. According to the Organic Trade Association (OTA), sales of organic food products totaled **$38.6 billion in 2012** and increased to **$65.4 billion in 2024**. Fresh fruits and vegetables represent the largest category within organically grown foods, with produce accounting for approximately **33% of total organic food sales in 2024**.

Consumer awareness of organic products has increased in recent years, particularly among younger generations. As of 2024, more than **30% of Gen Z and millennial consumers in the United States** reported that they primarily purchase organic food or prefer to do so.

The Organic Tarde Association (OTA) expects this market to grow at a CAR of 5.9% trhough between now and 2029.

## US-Macro

- Macroeconomic conditions continued to pressure discretionary consumer spending toward the end of 2025, though the impact remains uneven across income groups. The University of Michigan Consumer Sentiment Index stood at **52.9 in December 2025**, slightly above November levels but still well below pre-pandemic norms, signaling ongoing consumer caution. Lower- and middle-income households remain most affected, while higher-income consumers—lululemon's core demographic—have shown greater resilience.

- Inflation trends improved modestly into year-end. According to the U.S. Bureau of Labor Statistics, **core CPI for December 2025 was 2.7%**. For food the Cpi was of 3.1% for Decemeber.

- Labor market conditions softened further by year-end. U.S. unemployment reached approximately **4.2% in December 2025**, up from **3.7% in early 2024**, while long-term unemployment remained elevated at roughly **1.9 million individuals**. Although the labor market remains relatively stable, this trend suggests slower discretionary spending growth into 2026.

## Main Competitors

- **Whole Foods Market** - is a **premium natural and organic grocery retailer** focused on high-quality fresh, prepared, and private-label products. Owned by Amazon, the chain operates **~520 stores**, primarily in the **United States**, with a smaller presence in **Canada and the U.K.** The brand targets higher-income, health-conscious consumers and benefits from Amazon's scale, logistics, and digital ecosystem.

- **Trader Joe's** - is a **value-oriented specialty grocery retailer** known for a curated, predominantly private-label assortment offered at accessible price points. The company operates **~560 stores**, almost entirely in the **United States**, with a limited presence in select international markets. Stores are typically located in **urban and suburban, high-traffic areas**, and the chain generates industry-leading sales per square foot.

- **Natural Grocers -** is a specialty natural and organic grocery chain catering to health-focused consumers, with a strong emphasis on organic produce, dietary supplements, and nutrition education. The company operates approximately **165 stores across roughly 20 U.S. states**, primarily in the Western and Central United States. Its store footprint and product assortment overlap meaningfully with Sprouts, though with a greater emphasis on supplements.

- **The Fresh Market -** is a specialty grocer targeting more affluent, food-focused consumers, offering premium fresh foods, prepared meals, and specialty grocery items. The chain operates approximately **160 stores across the United States**, primarily in suburban markets in the Southeast, Midwest, and East Coast. Stores are smaller format and emphasize a curated, high-touch shopping experience.

## Financial Statements

Figure 3 – Sprouts Farmers Market Year Income Statement

| Sprouts Farmers Market, Inc. | DEC '10 | DEC '11 | DEC '12 | DEC '13 | DEC '14 | DEC '15 | DEC '16 | DEC '17 | DEC '18 | DEC '19 | DEC '20 | DEC '21 | DEC '22 | DEC '23 | DEC '24 | EP '25 LTM |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | | | | | | Restate | | | | | | | | |
| **Sales** | **$517** | **1,106** | **1,795** | **2,438** | **2,967** | **3,593** | **4,046** | **4,665** | **5,207** | **5,635** | **6,469** | **6,100** | **6,404** | **6,837** | **7,719** | **8,654** |
| *YoY % Growth* | | *114.0%* | *62.3%* | *35.8%* | *21.7%* | *21.1%* | *12.6%* | *15.3%* | *11.6%* | *8.2%* | *14.8%* | *-5.7%* | *5.0%* | *6.8%* | *12.9%* | *12.1%* |
| COGS excluding D&A | $354 | 772 | 1,229 | 1,664 | 2,082 | 2,541 | 2,864 | 3,098 | 3,460 | 3,740 | 4,089 | 3,891 | 4,056 | 4,316 | 4,778 | 5,144 |
| **Gross Profit** | **$163** | **333** | **566** | **774** | **885** | **1,052** | **1,182** | **1,567** | **1,747** | **1,895** | **2,379** | **2,209** | **2,349** | **2,522** | **2,941** | **3,510** |
| *Gross Margin* | *31.6%* | *30.2%* | *31.6%* | *31.7%* | *29.8%* | *29.3%* | *29.2%* | *33.6%* | *33.6%* | *33.6%* | *36.8%* | *36.2%* | *36.7%* | *36.9%* | *38.1%* | *40.6%* |
| Depreciation & Amortization Expense | $14 | 55 | 36 | 49 | 62 | 69 | 81 | 94 | 108 | 120 | 124 | 122 | 124 | 132 | 133 | 295 |
| Depreciation | $10 | 22 | 35 | 47 | 61 | 68 | | | | | | | | | | |
| Amortization of Intangibles | $4 | 33 | 1 | 1 | 1 | 1 | | 1 | 1 | 0 | 0 | - | - | | | |
| Gross Income | $149 | 279 | 530 | 725 | 823 | 982 | 1,101 | 1,473 | 1,639 | 1,774 | 2,255 | 2,087 | 2,225 | 2,396 | 2,809 | 3,215 |
| *Gross Income margin* | *28.8%* | *25.2%* | *29.5%* | *29.7%* | *27.7%* | *27.3%* | *27.2%* | *31.6%* | *31.5%* | *31.5%* | *34.9%* | *34.2%* | *34.7%* | *35.0%* | *36.4%* | *37.1%* |
| SG&A Expense | $138 | 297 | 455 | 578 | 620 | 752 | 888 | 1,246 | 1,404 | 1,550 | 1,864 | 1,748 | 1,856 | 2,000 | 2,291 | 2,537 |
| Other SG&A | $138 | 297 | 455 | 578 | 620 | 752 | 888 | 1,246 | 1,404 | 1,550 | 1,864 | 1,748 | 1,856 | 2,000 | 2,291 | 2,537 |
| **EBITDA** | **$25** | **37** | **112** | **196** | **265** | **298** | **294** | **320** | **331** | **338** | **516** | **456** | **482** | **482** | **637** | **973** |
| *EBITDA Margin* | *4.9%* | *3%* | *6%* | *8%* | *9%* | *8%* | *7%* | *7%* | *6%* | *6%* | *8%* | *7%* | *8%* | *7%* | *8%* | *11%* |
| **EBIT (Operating Income)** | **$11** | **(18)** | **76** | **147** | **203** | **229** | **213** | **226** | **223** | **217** | **392** | **334** | **358** | **350** | **504** | **678** |
| *EBIT Margin* | *2.2%* | *-1.6%* | *4.2%* | *6.0%* | *6.8%* | *6.4%* | *5.3%* | *4.8%* | *4.3%* | *3.9%* | *6.1%* | *5.5%* | *5.6%* | *5.1%* | *6.5%* | *7.8%* |
| Nonoperating Income - Net | **($2)** | **(1)** | **(2)** | **0** | **1** | **0** | **0** | **1** | **1** | **(0)** | **4** | **6** | **2** | **-** | **8** | **7** |
| Other Income (Expense) | ($2) | (1) | (2) | 0 | 1 | 0 | 0 | 1 | 1 | (0) | 4 | 6 | 2 | - | 8 | 7 |
| Interest Expense | **$1** | **20** | **35** | **37** | **25** | **18** | **15** | **21** | **28** | **21** | **19** | **17** | **11** | **6** | **6** | **3** |
| Gross Interest Expense | $1 | 20 | 35 | 37 | 25 | 18 | 15 | 21 | 28 | 21 | 19 | 17 | 11 | 6 | 6 | 3 |
| Unusual Expense - Net | **$0** | **6** | **3** | **26** | **4** | **7** | **0** | **1** | **12** | **7** | **(0)** | **5** | **11** | **45** | **13** | **9** |
| Restructuring Expense | $0 | 6 | 2 | 2 | 1 | 2 | 0 | 1 | 12 | 7 | (0) | 5 | 11 | 39 | 13 | 9 |
| Legal Claim Expense | | | | 1 | | | | | | | | | | | | |
| Excpl Chrgs - Others | **$0** | **-** | **1** | **24** | **4** | **5** | **-** | | | | | | | **6** | | |
| Restructuring of Debt | $0 | - | 1 | 19 | 1 | 5 | - | | | | | | | | | |
| Accelerated Depreciation | | | | | | | | | | | | | | 6 | | |
| Other Unusual Expense | | | | 5 | 3 | | | | | | | | | | | |
| Pretax Income | **$8** | **(45)** | **35** | **84** | **174** | **206** | **199** | **206** | **196** | **196** | **377** | **322** | **349** | **344** | **507** | **673** |
| Income Taxes | **$3** | **(18)** | **15** | **33** | **66** | **77** | **74** | **47** | **37** | **47** | **89** | **78** | **88** | **85** | **126** | **160** |
| Income Taxes - Current Domestic | $1 | 2 | 1 | 19 | 58 | 61 | 54 | 39 | 15 | 45 | 84 | 80 | 86 | 90 | 115 | |
| Income Taxes - Deferred Domestic | $2 | (20) | 14 | 14 | 8 | 16 | 21 | 8 | 23 | 2 | 5 | (2) | 2 | (5) | 11 | |
| Consolidated Net Income | $5 | (27) | 20 | 51 | 108 | 129 | 124 | 158 | 159 | 150 | 287 | 244 | 261 | 259 | 381 | 513 |
| **Net Income** | **$5** | **(27)** | **20** | **51** | **108** | **129** | **124** | **158** | **159** | **150** | **287** | **244** | **261** | **259** | **381** | **513** |
| Net Income available to Common | $5 | (27) | 20 | 51 | 108 | 129 | 124 | 158 | 159 | 150 | 287 | 244 | 261 | 259 | 381 | 513 |
| *Net Income margin* | *0.9%* | *-2.5%* | *1.1%* | *2.1%* | *3.6%* | *3.6%* | *3.1%* | *3.4%* | *3.0%* | *2.7%* | *4.4%* | *4.0%* | *4.1%* | *3.8%* | *4.9%* | *5.9%* |
| Per Share | | | | | | | | | | | | | | | | |
| EPS (recurring) | $0 | (0) | 0 | 0 | 1 | 1 | 1 | 1 | 1 | 1 | 2 | 2 | 2 | 3 | 4 | 5 |
| EPS (basic) | **$0** | **(0)** | **0** | **0** | **1** | **1** | **1** | **1** | **1** | **1** | **2** | **2** | **2** | **3** | **4** | **5** |
| Basic Shares Outstanding | $146 | 146 | 146 | 135 | 150 | 153 | 147 | 135 | 129 | 119 | 118 | 115 | 108 | 102 | 100 | 98 |

Figure 4 – Quarters Income Statement

| Sprouts Farmers Market, Inc. | DEC '22 FY | DEC '23 FY | MAR '24 Q1 | JUN '24 Q2 | SEP '24 Q3 | DEC '24 Q4 | DEC '24 FY | MAR '25 Q1 | JUN '25 Q2 | SEP '25 Q3 |
|---|---|---|---|---|---|---|---|---|---|---|
| **Sales** | **$6,404** | **6,837.4** | **1,883.8** | **1,893.5** | **1,945.7** | **1,996.2** | **7,719.3** | **2,236.4** | **2,220.6** | **2,200.4** |
| *QoQ Growth* | | | | | | | | *18.7%* | *17.3%* | *13.1%* |
| | | | 4% | 6.70% | 8.40% | | | 11.70% | 10.20% | 5.90% |
| COGS | $3,935 | 4,182.4 | 1,126.9 | 1,140.2 | 1,169.3 | 1,200.0 | 4,636.5 | 1,313.7 | 1,320.3 | 1,310.2 |
| **Gross Profit** | **$2,469** | **4,182.4** | **1,126.9** | **1,140.2** | **1,169.3** | **1,200.0** | **4,636.5** | **1,313.7** | **1,320.3** | **1,310.2** |
| Gross Profit Margin | *39%* | *61.2%* | *59.8%* | *60.2%* | *60.1%* | *60.1%* | *60.1%* | *58.7%* | *59.5%* | *59.5%* |
| *QoQ Growth* | | | | | | | | *16.6%* | *15.8%* | *12.0%* |
| Depreciation & Amortization Expense | $244 | 259.1 | 66.8 | 66.4 | 69.9 | 70.9 | 274.1 | 71.5 | 74.3 | 78.0 |
| Depreciation | $244 | 259.1 | 66.8 | 66.4 | 69.9 | 70.9 | 274.1 | 71.5 | | |
| Gross Income | $2,225 | 2,395.8 | 690.1 | 686.9 | 706.5 | 725.3 | 2,808.7 | 851.3 | 826.0 | 812.2 |
| *QoQ Growth* | | | | | | | | *23.4%* | *20.3%* | *15.0%* |
| Margin (%) | *35%* | *35%* | *37%* | *36%* | *36%* | *36%* | *36%* | *38%* | *37%* | *37%* |
| SG&A Expense | $1,856 | 2,000.4 | 539.8 | 556.4 | 580.3 | 614.9 | 2,291.4 | 623.2 | 645.1 | 653.3 |
| Other SG&A | $1,856 | 2,000.4 | 539.8 | 556.4 | 580.3 | 614.9 | 2,291.4 | 623.2 | 645.1 | 653.3 |
| **EBITDA** | **$614** | **654.5** | **217.1** | **196.9** | **196.1** | **181.3** | **791.5** | **299.5** | **255.2** | **236.9** |
| *EBITDA Margin* | *10%* | *10%* | *12%* | *10%* | *10%* | *9%* | *10%* | *13%* | *11%* | *11%* |
| **EBIT (Operating Income)** | **$369** | **395.4** | **150.3** | **130.5** | **126.2** | **110.4** | **517.4** | **228.0** | **180.9** | **158.9** |
| *QoQ Growth* | | | | | | | | *51.7%* | *38.6%* | *25.9%* |
| *Margin (%)* | *5.8%* | *5.8%* | *8.0%* | *6.9%* | *6.5%* | *5.5%* | *6.7%* | *10.2%* | *8.1%* | *7.2%* |
| Nonoperating Income - Net | $2 | - | - | 2.2 | 1.6 | 2.4 | 8.0 | 1.5 | 1.0 | 1.6 |
| Other Income (Expense) | $2 | - | - | 2.2 | 1.6 | 2.4 | 8.0 | 1.5 | 1.0 | 1.6 |
| Interest Expense | $11 | 6.5 | 0.8 | 2.0 | 0.6 | 0.6 | 5.8 | 0.6 | 0.6 | 0.9 |
| Gross Interest Expense | $11 | 6.5 | 0.8 | 2.0 | 0.6 | 0.6 | 5.8 | 0.6 | 0.6 | 0.9 |
| Unusual Expense - Net | $11 | 45.2 | 2.0 | 3.2 | 3.7 | 3.9 | 12.9 | 1.7 | 1.5 | 1.5 |
| Restructuring Expense | $11 | 39.3 | 2.0 | 3.2 | 3.7 | 3.9 | 12.9 | 1.7 | 1.5 | 1.5 |
| Excpl Chrgs - Others | | 5.9 | | | | | | | | |
| Accelerated Depreciation | | 5.9 | | | | | | | | |
| Pretax Income | $349 | 343.7 | 147.4 | 127.5 | 123.5 | 108.3 | 506.7 | 227.3 | 179.8 | 158.1 |
| *QoQ Growth* | | | | | | | | *54.1%* | *41.1%* | *28.0%* |
| Margin (%) | *5%* | *5%* | *8%* | *7%* | *6%* | *5%* | *7%* | *10%* | *8%* | *7%* |
| Income Taxes | $88 | 84.9 | 33.3 | 32.2 | 31.9 | 28.7 | 126.1 | 47.2 | 46.1 | 38.0 |
| Income Taxes - Current Domestic | $86 | 89.8 | | | | | 115.4 | | | |
| Income Taxes - Deferred Domestic | $2 | (4.9) | | | | | 10.7 | | | |
| Consolidated Net Income | $261 | 258.9 | 114.1 | 95.3 | 91.6 | 79.6 | 380.6 | 180.0 | 133.7 | 120.1 |
| *QoQ Growth* | | | | | | | | *57.8%* | *40.3%* | *31.1%* |
| Margin (%) | *4%* | *4%* | *6%* | *5%* | *5%* | *4%* | *5%* | *8%* | *6%* | *5%* |
| **Net Income** | **$261** | **258.9** | **114.1** | **95.3** | **91.6** | **79.6** | **380.6** | **180.0** | **133.7** | **120.1** |
| *QoQ Growth* | | | | | | | | *57.8%* | *40.3%* | *31.1%* |
| Margin (%) | *4.1%* | *3.8%* | *6.1%* | *5.0%* | *4.7%* | *4.0%* | *4.9%* | *8.0%* | *6.0%* | *5.5%* |
| Net Income available to Common | $261 | 258.9 | 114.1 | 95.3 | 91.6 | 79.6 | 380.6 | 180.0 | 133.7 | 120.1 |
| Per Share | | | | | | | | | | |
| EPS (recurring) | $2 | 2.8 | 1.1 | 1.0 | 0.9 | 0.8 | 3.8 | 1.8 | 1.4 | 1.2 |
| EPS (basic) | $2 | 2.5 | 1.1 | 0.9 | 0.9 | 0.8 | 3.8 | 1.8 | 1.4 | 1.2 |
| Basic Shares Outstanding | $108 | 102.5 | 101.1 | 100.5 | 100.1 | 99.8 | 100.4 | 98.5 | 97.9 | 97.7 |
| Total Shares Outstanding | $105 | 101.2 | 100.8 | 100.2 | 100.0 | 99.3 | 99.3 | 98.2 | 97.8 | 97.5 |
| EPS (diluted) | $2 | 2.5 | 1.1 | 0.9 | 0.9 | 0.8 | 3.8 | 1.8 | 1.4 | 1.2 |
| Diluted Shares Outstanding | $109 | 103.4 | 102.0 | 101.2 | 101.0 | 101.0 | 101.4 | 99.7 | 98.8 | 98.7 |
| Total Shares Outstanding | $105 | 101.2 | 100.8 | 100.2 | 100.0 | 99.3 | 99.3 | 98.2 | 97.8 | 97.5 |
| Earnings Persistence | $93 | 86.7 | 88.9 | 86.8 | 90.8 | 91.3 | 91.3 | 91.4 | 91.6 | 87.8 |

All figures in millions of U.S. Dollar except per share items.

Figure 5- Balance Sheet

| Sprouts Farmers Market, Inc. | DEC '11 | DEC '12 | DEC '13 | DEC '14 | DEC '15 | DEC '16 | DEC '17 Restate | DEC '18 | DEC '19 | DEC '20 | DEC '21 | DEC '22 | DEC '23 | DEC '24 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Assets** | | | | | | | | | | | | | | |
| Cash & Short-Term Investments | $15 | 67 | 78 | 131 | 136 | 12 | 19 | 2 | 87 | 171 | 245 | 293 | 204 | 267 |
| Cash Only | $15 | 67 | 78 | 131 | 136 | 12 | 19 | 2 | 87 | 171 | 245 | 293 | 204 | 267 |
| Short-Term Receivables | $7 | 10 | 10 | 20 | 26 | 27 | 26 | 41 | 16 | 15 | 16 | 22 | 30 | 31 |
| Accounts Receivables, Net | $4 | 8 | 5 | 8 | 20 | 25 | 26 | 41 | 16 | 15 | 16 | 22 | 30 | 31 |
| | $3 | 1 | 4 | 12 | | | | | | | | | | |
| Inventories | $64 | 98 | 118 | 143 | 165 | 204 | 230 | 264 | 276 | 254 | 265 | 311 | 323 | 343 |
| Finished Goods | $64 | 98 | 118 | 143 | 165 | 204 | 230 | 264 | 276 | 254 | 265 | 311 | | |
| Prepaid Expenses & Other Current Assets | $18 | 27 | 26 | 41 | 23 | 22 | 25 | 27 | 11 | 27 | 35 | 54 | 36 | 48 |
| | $1 | 2 | 6 | 5 | | | 24 | 25 | 9 | 16 | | | | |
| | $17 | 25 | 20 | 36 | | | 0 | 2 | 1 | 1 | | | | |
| **Total Current Assets** | **$103** | **203** | **232** | **334** | **345** | **264** | **300** | **334** | **388** | **466** | **568** | **674** | **604** | **676** |
| Property, Plant & Equipment | $221 | 303 | 349 | 455 | 494 | 605 | 713 | 766 | 1,770 | 1,772 | 1,788 | 1,829 | 2,122 | 2,362 |
| PPE excluding operating leases | | | | | | | | | 742 | 727 | 716 | 722 | 799 | 895 |
| Intangible Assets | $390 | 565 | 564 | 562 | 567 | 566 | 564 | 563 | 553 | 554 | 554 | 554 | 590 | 590 |
| Other Assets | $4 | 10 | 13 | 18 | 19 | 6 | 5 | 12 | 12 | 15 | 14 | 14 | 12 | 13 |
| **Total Assets** | **$762** | **1,103** | **1,172** | **1,369** | **1,426** | **1,440** | **1,582** | **1,676** | **2,723** | **2,806** | **2,923** | **3,070** | **3,327** | **3,641** |
| **Liabilities & Shareholders' Equity** | | | | | | | | | | | | | | |
| **Current** | | | | | | | | | | | | | | |
| ST Debt & Curr. Portion LT Debt | $3 | 5 | 9 | 37 | 15 | 12 | 9 | 7 | 107 | 137 | 153 | 137 | 127 | 152 |
| Accounts Payable | $54 | 83 | 111 | 113 | 134 | 158 | 119 | 120 | 123 | 139 | 146 | 173 | 180 | 213 |
| Income Tax Payable | | | 6 | 6 | 7 | 9 | | | | - | | | | |
| Other Current Liabilities | $34 | 49 | 50 | 65 | 74 | 80 | 171 | 182 | 187 | 220 | 215 | 213 | 240 | 315 |
| **Total Current Liabilities** | **$91** | **137** | **176** | **221** | **230** | **259** | **300** | **310** | **417** | **496** | **513** | **522** | **547** | **680** |
| **Long-Term** | | | | | | | | | | | | | | |
| Long-Term Debt | $367 | 529 | 422 | 370 | 276 | 372 | 473 | 573 | 1,628 | 1,330 | 1,356 | 1,404 | 1,533 | 1,528 |
| Long-Term Debt excl Lease Obligations | $294 | 425 | 305 | 249 | 160 | 255 | 348 | 453 | 549 | 260 | 260 | 259 | 134 | 7 |
| Capital and Operating Lease Obligations | $73 | 104 | 116 | 122 | 116 | 117 | 125 | 120 | 1,079 | 1,070 | 1,096 | 1,145 | 1,400 | 1,520 |
| Provision for Risks & Charges | $10 | 16 | - | 4 | 20 | 27 | - | - | | | | | | |
| Other Liabilities | $27 | 35 | 61 | 70 | 78 | 89 | 131 | 153 | 96 | 99 | 94 | 97 | 99 | 111 |
| Other Liabilities (excl. Deferred Income) | $27 | 35 | 51 | 56 | 78 | 89 | 131 | 153 | 42 | 41 | 36 | 36 | 36 | 38 |
| Deferred Income | $0 | - | 11 | 14 | - | 19 | 27 | 50 | 54 | 58 | 58 | 61 | 62 | 73 |
| Total Long term liabilties | $404 | 580 | 483 | 463 | 373 | 508 | 631 | 776 | 1,724 | 1,429 | 1,450 | 1,502 | 1,632 | 1,639 |
| **Total Liabilities** | **$494** | **716** | **659** | **684** | **603** | **767** | **931** | **1,086** | **2,141** | **1,925** | **1,963** | **2,024** | **2,179** | **2,319** |
| **Equity** | | | | | | | | | | | | | | |
| **Common Equity** | $267 | 387 | 514 | 685 | 823 | 673 | 651 | 589 | 582 | 881 | 960 | 1,046 | 1,149 | 1,322 |
| Common Stock Par/Carry Value | $267 | 387 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| Additional Paid-In Capital/Capital Surplus | | | 479 | 543 | 577 | 597 | 621 | 657 | 671 | 687 | 705 | 726 | 775 | 808 |
| Retained Earnings | | | 34 | 142 | 245 | 76 | 31 | (69) | (84) | 203 | 259 | 320 | 374 | 514 |
| Other Appropriated Reserves | | | | | | | (1) | 1 | (5) | (8) | (4) | - | | |
| Total Shareholders' Equity | $267 | 387 | 514 | 685 | 823 | 673 | 651 | 589 | 582 | 881 | 960 | 1,046 | 1,149 | 1,322 |
| Total Equity | $267 | 387 | 514 | 685 | 823 | 673 | 651 | 589 | 582 | 881 | 960 | 1,046 | 1,149 | 1,322 |
| Total Liabilities & Shareholders' Equity | $762 | 1,103 | 1,172 | 1,369 | 1,426 | 1,440 | 1,582 | 1,676 | 2,723 | 2,806 | 2,923 | 3,070 | 3,327 | 3,641 |
| **Per Share** | | | | | | | | | | | | | | |
| Book Value per Share | $2 | 3 | 3 | 5 | 5 | 5 | 5 | 5 | 5 | 7 | 9 | 10 | 11 | 13 |
| Tangible Book Value per Share | ($1) | (1) | (0) | 1 | 2 | 1 | 1 | 0 | 0 | 3 | 4 | 5 | 6 | 7 |

All figures in millions of U.S. Dollar except per share items.

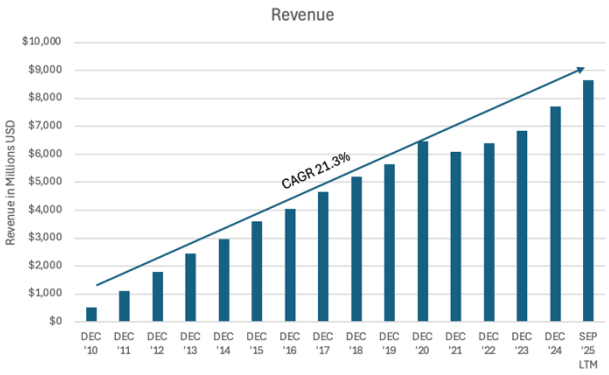
Figure 6- Cash Flow Statement

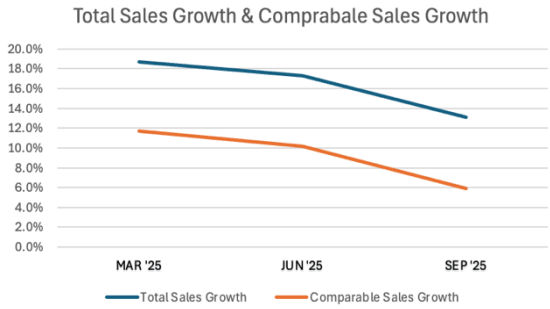
| Sprouts Farmers Market, Inc. | DEC '10 | DEC '11 | DEC '12 | DEC '13 | DEC '14 | DEC '15 | DEC '16 | DEC '17 | DEC '18 | DEC '19 | DEC '20 | DEC '21 | DEC '22 | DEC '23 | DEC '24 | SEP '25 LTM |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Operating Activities | | | | | | | | | | | | | | | | |
| **Net Income / Starting Line** | **$5** | **(27)** | **20** | **51** | **108** | **129** | **124** | **158** | **159** | **150** | **287** | **244** | **261** | **259** | **381** | **513** |
| Depreciation, Depletion & Amortization | $14 | 55 | 36 | 47 | 60 | 69 | 81 | 97 | 111 | 205 | 226 | 234 | 244 | 265 | 274 | 295 |
| Depreciation and Depletion | $10 | 22 | 35 | 47 | 60 | | | | | | | | | | 274 | 295 |
| Depreciation and amrtization | | | | | | 69 | 80 | 97 | 111 | 123 | 127 | 126 | 127 | 138 | 140 | |
| Operating lease assets amortization | | | | | | 0 | 0 | 0 | 1 | 82 | 99 | 109 | 117 | 127 | 134 | |
| Amortization of Intangible Assets | $4 | 33 | 1 | | | | | | | | | | | | | |
| Deferred Taxes & Investment Tax Credit | $2 | (20) | 14 | 25 | 16 | 16 | 21 | 8 | 23 | (0) | 4 | (0) | 3 | (5) | 11 | 9 |
| Deferred Taxes | $2 | (20) | 14 | 25 | 16 | 16 | 21 | 8 | 23 | (0) | 4 | (0) | 3 | (5) | 11 | 9 |
| Other Funds | $0 | 5 | 11 | 17 | 10 | 16 | 14 | 16 | 20 | 17 | 18 | 22 | 25 | 51 | 34 | 35 |
| Funds from Operations | $21 | 13 | 80 | 141 | 194 | 230 | 240 | 280 | 313 | 371 | 535 | 500 | 534 | 569 | 700 | 852 |
| Changes in Working Capital | $1 | 40 | 4 | 20 | (13) | 10 | 14 | 30 | (18) | (16) | (41) | (135) | (163) | (104) | (55) | (150) |
| Receivables | ($0) | 2 | (3) | (2) | (4) | (6) | (5) | (5) | (8) | 36 | 26 | 17 | 13 | 3 | 30 | 24 |
| Inventories | ($7) | 2 | (1) | (20) | (25) | (23) | (39) | (25) | (35) | (12) | 22 | (11) | (45) | (11) | (20) | (70) |
| Accounts Payable | $3 | 15 | (5) | 32 | (5) | 19 | 16 | 39 | 4 | 29 | 20 | 5 | 13 | 12 | 28 | 26 |
| Income Taxes Payable | | | | | | | | | | | (2) | - | - | | | |
| Other Accruals | $5 | 7 | 2 | 6 | 16 | 8 | 8 | 13 | 3 | 0 | 32 | (17) | 8 | 25 | 63 | 33 |
| Other Assets/Liabilities | $0 | 14 | 12 | 3 | 5 | 11 | 34 | 8 | 17 | (69) | (139) | (128) | (153) | (134) | (155) | (173) |
| **Net Operating Cash Flow** | **$22** | **52** | **84** | **161** | **181** | **240** | **254** | **310** | **294** | **355** | **494** | **365** | **371** | **465** | **645** | **702** |
| Investing Activities | | | | | | | | | | | | | | | | |
| Capital Expenditures | ($17) | (28) | (46) | (87) | (127) | (131) | (182) | (199) | (177) | (183) | (122) | (102) | (124) | (225) | (230) | (245) |
| Capital Expenditures (Fixed Assets) | ($17) | (28) | (46) | (87) | (127) | (125) | (181) | (199) | (177) | (183) | (122) | (102) | (124) | (225) | (230) | (245) |
| Capital Expenditures (Other Assets) | ($0) | (0) | - | | | (6) | (0) | - | - | - | - | - | - | - | - | - |
| Net Assets from Acquisitions | $0 | (233) | (130) | | | | - | - | - | - | - | - | - | (13) | - | - |
| Sale of Fixed Assets & Businesses | $0 | - | 10 | 1 | 0 | 3 | 1 | 0 | 0 | - | - | - | - | - | - | - |
| Other Funds | $0 | - | - | 0 | 0 | - | - | - | - | - | - | - | - | - | - | - |
| Other Sources | | | - | 0 | 0 | - | - | - | - | - | - | - | - | - | - | - |
| **Net Investing Cash Flow** | **($17)** | **(261)** | **(167)** | **(86)** | **(127)** | **(128)** | **(181)** | **(199)** | **(177)** | **(183)** | **(122)** | **(102)** | **(124)** | **(238)** | **(230)** | **(245)** |
| Financing Activities | | | | | | | | | | | | | | | | |
| Cash Dividends Paid | $0 | (275) | - | - | - | - | - | - | - | - | - | - | - | - | - | - |
| Common Dividends | $0 | (275) | - | - | - | - | - | - | - | - | - | - | - | - | - | - |
| Change in Capital Stock | $0 | 206 | 5 | 52 | 11 | (19) | (292) | (194) | (236) | (171) | 1 | (186) | (195) | (192) | (225) | (441) |
| Repurchase of Common & Preferred Stk. | $0 | - | (0) | (300) | - | (26) | (294) | (203) | (258) | (176) | - | (188) | (200) | (203) | (230) | (442) |
| Sale of Common & Preferred Stock | $0 | 206 | 6 | 352 | 11 | 7 | 3 | 9 | 22 | 5 | 1 | 2 | 5 | 11 | 5 | 2 |
| Proceeds from Sale of Stock | $0 | 206 | 6 | 349 | - | - | - | - | - | - | - | - | - | - | - | - |
| Proceeds from Stock Options | $0 | - | - | 4 | 11 | 7 | 3 | 9 | 22 | 5 | 1 | 2 | 5 | 11 | 5 | 2 |
| Issuance/Reduction of Debt, Net | $0 | 294 | 130 | (134) | (60) | (107) | 91 | 90 | 102 | 84 | (289) | (1) | (4) | (125) | (125) | 0 |
| Change in Long-Term Debt | $0 | 294 | 130 | (134) | (60) | (107) | 91 | 90 | 102 | 84 | (289) | (1) | (4) | (125) | (125) | 0 |
| Issuance of Long-Term Debt | $0 | 321 | 138 | 691 | 1 | 259 | 105 | 154 | 235 | 265 | - | - | 59 | - | - | - |
| Reduction in Long-Term Debt | $0 | (27) | (8) | (825) | (61) | (365) | (14) | (64) | (133) | (181) | (289) | (1) | (63) | (125) | (125) | 0 |
| Repayments of Operating Lease Liabilities | | | | | | | | | | | | | | (1) | (1) | |
| Other Funds | ($7) | (8) | (0) | 18 | 47 | 20 | 4 | - | (0) | (0) | - | - | - | - | - | (2) |
| Other Uses | ($7) | (16) | (0) | - | - | - | | | (0) | (0) | - | - | | - | - | (2) |
| Other Sources | $0 | 8 | 0 | 18 | 47 | 20 | 4 | - | - | | - | - | - | - | - | - |
| **Net Financing Cash Flow** | **($6)** | **218** | **135** | **(64)** | **(2)** | **(106)** | **(197)** | **(104)** | **(135)** | **(87)** | **(287)** | **(187)** | **(199)** | **(318)** | **(351)** | **(444)** |
| All Activities | | | | | | | | | | | | | | | | |
| Net Change in Cash | ($1) | 10 | 53 | 10 | 53 | 6 | (124) | 7 | (17) | 85 | 85 | 76 | 48 | (91) | 63 | 14 |
| Free Cash Flow | $6 | 25 | 38 | 73 | 54 | 115 | 73 | 111 | 117 | 172 | 372 | 262 | 247 | 240 | 415 | 458 |
| Free Cash Flow per Share | $0 | 0 | 0 | 1 | 0 | 1 | 0 | 1 | 1 | 1 | 3 | 2 | 2 | 2 | 4 | 5 |
| Free Cash Flow Yield (%) | | | | 1 | 1 | 3 | 3 | 3 | 4 | 7 | 16 | 8 | 7 | 5 | 3 | 4 |

All figures in millions of U.S. Dollar except per share items.

## Sales

Figures 7, 8 & 9 – Revenue over the years, 2025 quarters total sales vs comparable sales, 2024 vs 2025 comparable sales



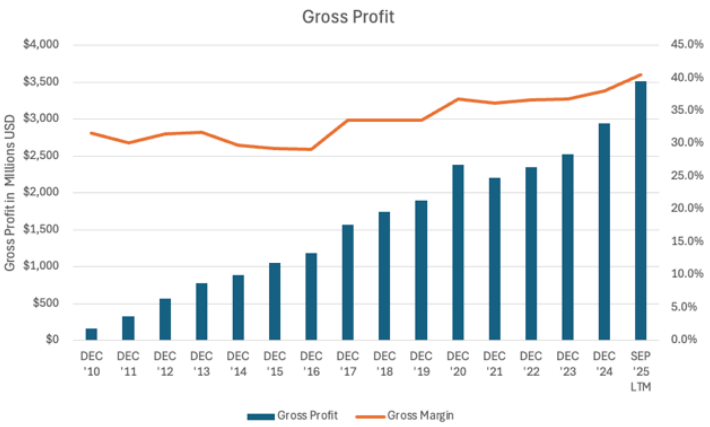

| | 24-Q1 | 24-Q2 | 24-Q3 | 25-Q1 | 25-Q2 | 25-Q3 |
|---|---|---|---|---|---|---|
| Comparables Sales Growth | 4% | 6.70% | 8.40% | 11.70% | 10.20% | 5.90% |

Sprouts Farmers Market has delivered strong growth over the past 15 years, generating a sales CAGR of approximately **21.3%** over this period. This performance has been driven by broader market expansion, increased consumer awareness around food quality, improving brand competitiveness, and consistent store expansion across multiple U.S. states.

In 2025, revenue growth has remained robust, with sales increasing by approximately **19%**, **17%**, and **13%** in the first three quarters, respectively. Comparable-store sales have generally tracked total revenue growth; however, in Q3, comparable sales growth moderated to **5.9%**. This deceleration has raised investor concerns and has contributed meaningfully to the recent decline in the stock price.

## Margins

Figure 10 & 11 – Gross Profit overtime & EBIDTA overtime



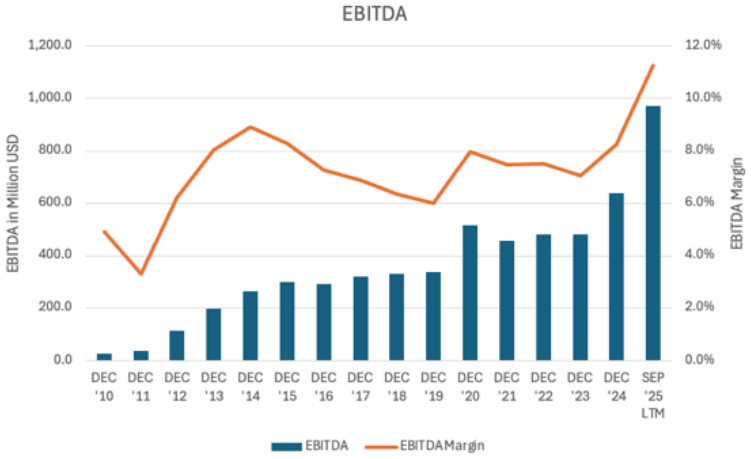
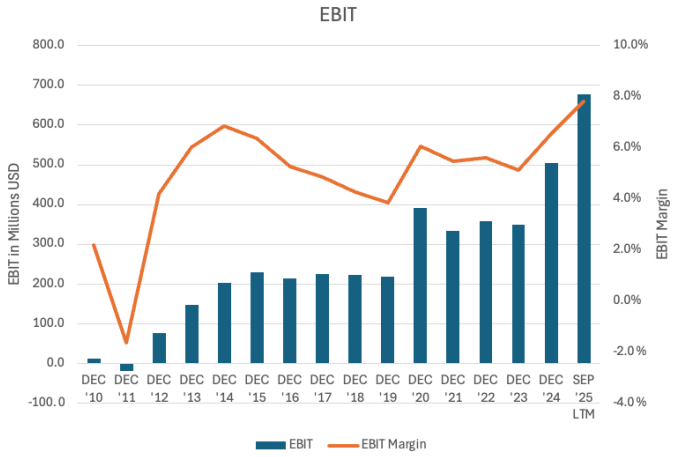
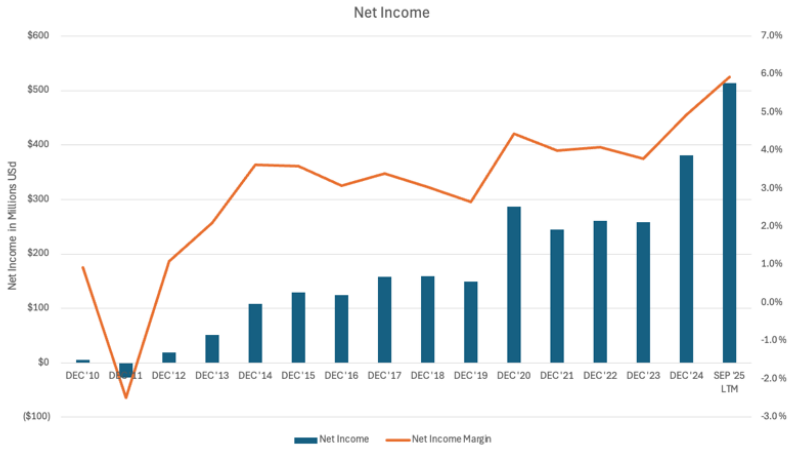



Figure 12 & 13 – EBIT & Net Income




- **Gross Profit Growth -** Gross profit increased from approximately **$163 million in 2010** to over **$3.5 billion in 2025**, reflecting significant scale expansion. Over the same period, gross margin improved from roughly **32%** to above **40%**, driven by improved merchandising, pricing discipline, and cost management.

- **EBITDA Growth:** EBITDA grew from approximately **$25 million in 2010** to nearly **$1.0 billion in 2025 LTM**, representing substantial operating leverage as the business scaled. EBITDA margins expanded from around **5%** in the early 2010s to approximately **11–12%** in recent years, highlighting improved efficiency and cost absorption.

- **Operating Income (EBIT):** EBIT increased from roughly **$11 million in 2010** to approximately **$680 million in 2025 LTM**. EBIT margins expanded from about **2%** to nearly **8%**, reflecting disciplined SG&A control and stronger store-level profitability as the company matured.

- **Net Income Growth:** Net income rose from **$5 million in 2010** to over **$500 million in 2025 LTM**, while net margins improved from below **1%** to nearly **6%**. This consistent improvement underscores the company's ability to convert revenue growth into sustainable bottom-line earnings.

- **Overall Assessment:** Over the past decade, Sprouts Farmers Market has transformed from a small, low-margin retailer into a scaled, highly profitable operator. The steady expansion in revenue, margins, and earnings demonstrates a durable business model and strong execution, positioning the company well for continued long-term growth.

## ROTCE & ROIC Overtime

- ROTCE= EBIT / ( NWC + NFA)
  - NWC = current assest ( exc. Cash) – current liabilities ( exc. Short term debt)
- ROIC = ( EBIT *(1-Tax Rate)) / ( ( Assets – Cash) – ( non – interest bearing current liabilities)

ROTCE increased sharply between 2012 and 2015, peaking at approximately **45–47%**, driven by rapid EBIT growth combined with a relatively low capital base during the company's early expansion phase. As Sprouts continued to invest aggressively in new stores and infrastructure, ROTCE normalized to the **20–25% range** in recent years, which remains well above typical retail sector averages and reflects strong underlying unit economics.

ROIC has followed a more stable trajectory, improving from low single-digit levels in the early 2010s to a sustained range of approximately **10–13%** in recent years. This improvement reflects higher operating profitability and more disciplined capital deployment as the business matured. The temporary decline in both ROTCE and ROIC around 2019 coincides with increased investment and margin pressure, followed by a recovery driven by improved operating performance and stronger EBIT growth.

Overall, the sustained elevation of both ROTCE and ROIC suggests that Sprouts Farmers Market has been effective in converting incremental investments into profitable growth. These metrics support the view that the company operates with a high-quality capital structure and has demonstrated an ability to generate returns well in excess of its cost of capital over time.

Figure 14 ROTCE & ROIC

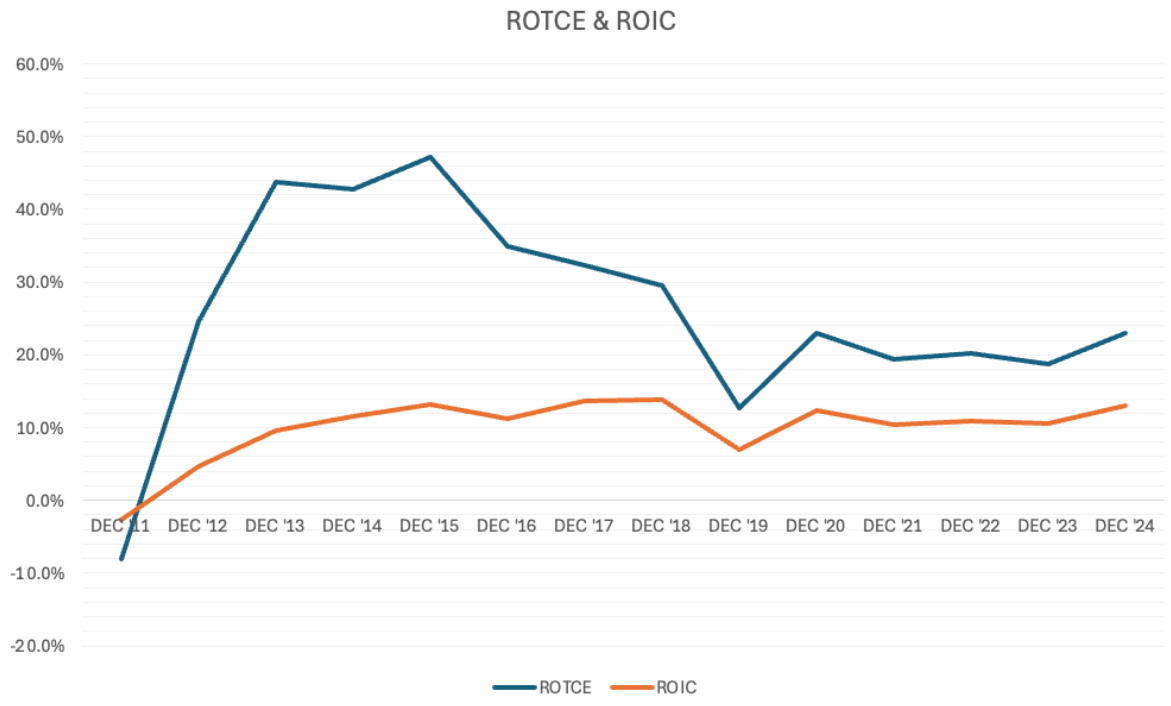
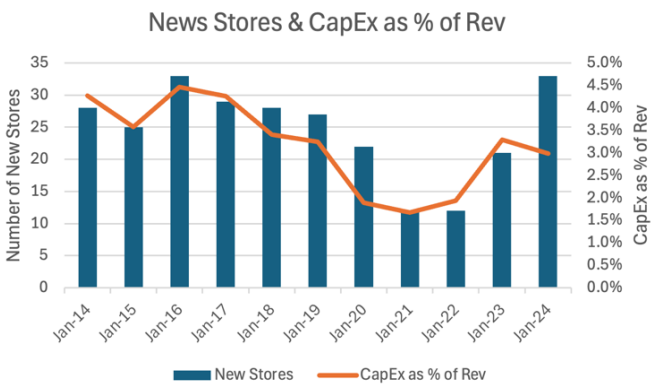
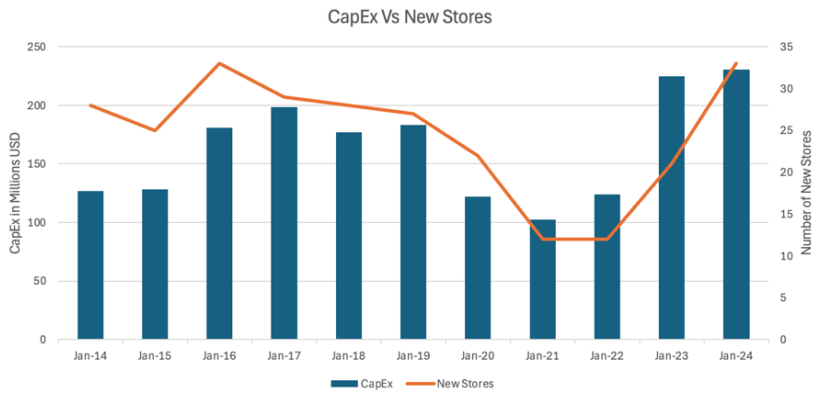


Figure 15 – New Stores & CapEX as % of Rev, CapEx vs New Stores




Sprouts Farmers Market has pursued a consistent and disciplined store expansion strategy over the past decade, steadily increasing its physical footprint while maintaining prudent capital allocation. Total store count grew from approximately **170 locations in 2013** to **440 stores in 2024**, while geographic presence expanded from **12 states to 25 states**, underscoring the company's long-term national growth opportunity. In 2025 they have already gotten to 464 stores and they expect to finish the years having opened 37 stores this year. This shows their dediactionn to achieve their long term objective of reaching 1000 stores nationwide.

Recent expansion has been concentrated in high-growth and underpenetrated markets. From 2022 to 2024, the company added **66 net new stores**, with the largest increases in **California (+21), Florida (+18), Texas (+7), and Arizona (+4)**. This targeted approach highlights management's focus on scaling within regions whee they experience high demand. In addition, in recent years they have taken the initiative to expand to many states and pursing the interest in the North East area.

Capital expenditures have closely tracked store growth but have become more efficient over time. Annual CapEx increased from roughly **$125–180 million** in the mid-2010s to approximately **$225–230 million in 2024**, reflecting renewed investment in store openings and infrastructure. Importantly, CapEx as a percentage of revenue has trended downward over the long term, declining from over **4%** earlier in the decade to closer to **3%** in recent years, indicating improved capital efficiency as the business has scaled.

The temporary reduction in new store openings and CapEx during 2020–2021 reflects a period of heightened uncertainty and capital discipline, followed by a clear reacceleration beginning in 2023. The increase to **over 30 new stores in 2024** suggests renewed confidence in demand conditions and the company's ability to generate attractive returns on incremental investment.

Overall, Sprouts' store growth strategy demonstrates a balance between expansion and discipline. The company has consistently reinvested in growth while improving capital efficiency, supporting strong returns on invested

Figure 15 - CapEx

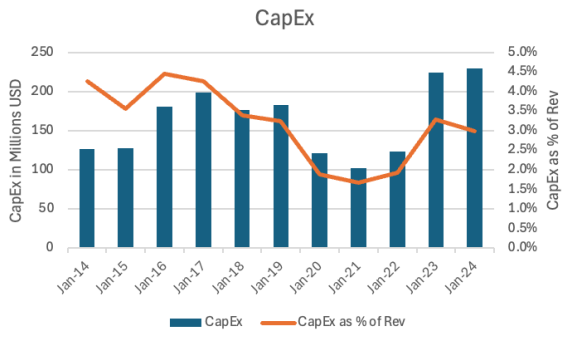
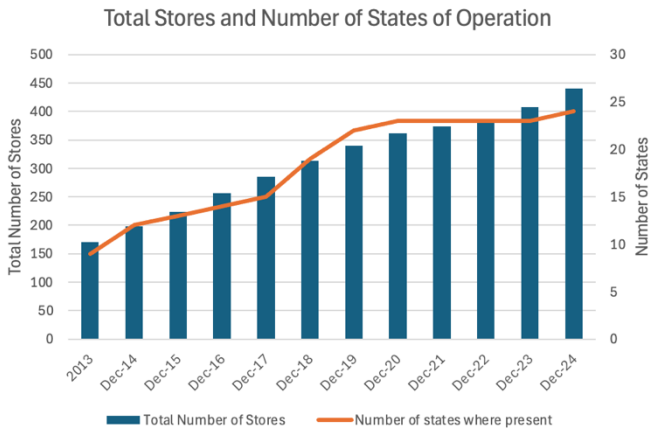



Figure 16 & 17 – Total Stores & Number of States of Operation, Store locations by state



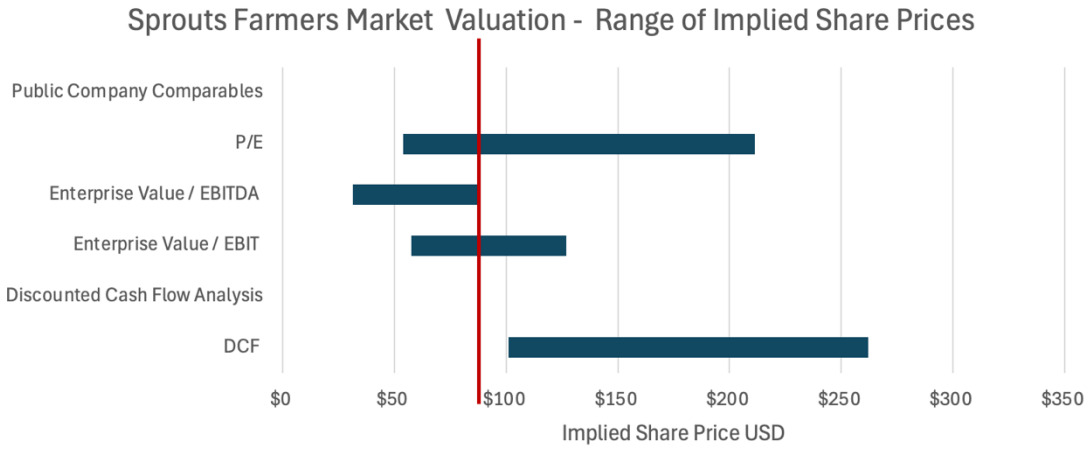

| Store locations by state | 2024 | 2022 | Change |
|---|---|---|---|
| WA | 3 | 4 | -1 |
| WY | 1 | | 1 |
| NV | 16 | 14 | 2 |
| CA | 149 | 128 | 21 |
| AZ | 47 | 43 | 4 |
| UT | 5 | 5 | 0 |
| CO | 33 | 32 | 1 |
| NM | 10 | 9 | 1 |
| KS | 4 | 5 | -1 |
| OK | 11 | 11 | 0 |
| TX | 54 | 47 | 7 |
| LA | 1 | 1 | 0 |
| MO | 3 | 3 | 0 |
| TN | 8 | 6 | 2 |
| AL | 3 | 3 | 0 |
| GA | 17 | 18 | -1 |
| FL | 47 | 29 | 18 |
| SC | 2 | 1 | 1 |
| NC | 6 | 5 | 1 |
| VA | 3 | 1 | 2 |
| MD | 7 | 5 | 2 |
| DE | 2 | 1 | 1 |
| NJ | 3 | 1 | 2 |
| PA | 5 | 2 | 3 |
| Total | 440 | 374 | 66 |

# Valuation

## Summary

Target Price:

- Comps: 56
- **Discounted Cash Flow: 114**




- The assumed acquisition price is **$80.3 per share**.
- The investment decision is based primarily on the **discounted cash flow (DCF) analysis**, with less reliance on comparable company analysis; precedent transactions were not considered.
- The target price as mentioned later, in my view, **conservative**, as it assumes growth rates meaningfully below the company's historical levels over the past several years.

## Public Companies Comparables

Figure 18 – Comparable Public Companies

| Company Name | Capitalization Market Cap | Price | 52 Week High | P/E Ratio | Revenue 2023 | Revenue 2024 | Revenue CAGR Past 3 years | Revenue CAGR past 5 years | EBITDA LTM | EBIT LTM |
|---|---|---|---|---|---|---|---|---|---|---|
| **Sprouts Farmers Market** | 7,750 | 80.3 | 182.00 | 15.81x | 6,837 | 7,719 | 8.16% | 6.5% | 973.0 | 678.2 |
| **Albertsons Companies A** | 9,492 | 17.31 | 23.20 | 10.31x | 79,238 | 80,391 | 3.80% | 5.2% | 4,393.3 | 1,848.9 |
| **Kroger** | 40,000 | 63 | 74.90 | 57.61x | 150,000 | 147,000 | 2.18% | 3.8% | 8,673.0 | 4,711.0 |
| **Natural Grocers** | 603 | 25 | 61.22 | 12.61x | 1,242 | 1,331 | 6.89% | 5.1% | 96.4 | 62.7 |
| **Average** | | | | 26.84x | 76,826 | 76,241 | 4.3% | 4.7% | 4,388 | 2,208 |

| Company Name | EBITDA Margin. | EBITDA Margin | Enterprise Value/ EBITDA LTM | Enterprise Value/EBIT LTM | D/E |
|---|---|---|---|---|---|
| **Sprouts Farmers Market** | 11.2% | 7.8% | 7.76x | 11.14x | 0.36 |
| **Albertsons Companies A** | 5.4% | 2.3% | 4.03x | 9.57x | 2.73 |
| **Kroger** | 5.9% | 3.2% | 6.15x | 11.33x | 1.18 |
| **Natural Grocers** | 7.2% | 4.7% | 6.59x | 10.14x | 0.90 |
| **Average** | 6.2% | 3.4% | 5.59x | 10.35x | 1.60 |

| | |
|---|---|
| **EBITDA Multiple Valuation** | 55.84 |

The public company comparables analysis implies a target price of approximately **$56**, based on **average valuation multiples**. However, I place limited weight on this valuation, as the selected peer group consists primarily of traditional grocery retailers with business models that differ meaningfully from Sprouts'. With the exception of **Natural Grocers**, these companies are less focused on organic and specialty offerings.

In addition, the peer group exhibits materially lower revenue growth than Sprouts Farmers Market and I don't expect the other companies to match the company's expected growth trajectory over the next several years. As a result, the comparable analysis may understate Sprouts' intrinsic value and should be interpreted with caution.

## Discounted Cash Flow Analysis

Figure 19 – Discounted Cash Flow Analysis

| Unlevered DCF | 2021 | 2022 | 2023 | 2024 | 2025 Q1+Q2+Q3 | 2025 Q4 | 2026E | 2027E | 2028E | 2029E | 2030E | TV |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Sales** | **$6,100** | **6,404** | **6,837** | **7,719** | **6,657** | **2,143** | **9,064** | **9,336** | **9,616** | **9,904** | **10,202** | |
| COGS | $3,891 | 4,056 | 4,316 | 4,636 | 3,944 | | 5,484 | 5,648 | 5,818 | 5,992 | 6,172 | |
| **Gross Profit** | **$2,209** | **2,349** | **2,522** | **3,083** | **3,944** | | **3,580** | **3,688** | **3,798** | **3,912** | **4,030** | |
| *Gross Profit Margin* | | | | *0* | *59%* | | *40%* | *40%* | *40%* | *40%* | *40%* | |
| D&A | $122 | 124 | 132 | 133 | 111 | | 267 | 268 | 269 | 267 | 266 | |
| SG&A | $1,748 | 1,856 | 2,000 | 2,291 | 1,922 | | 2,465 | 2,539 | 2,616 | 2,694 | 2,775 | |
| EBITDA | $456 | 482 | 482 | 637 | 678 | 107 | 1,115 | 1,148 | 1,183 | 1,218 | 1,255 | |
| *EBITDA Margin* | | | | *0* | *10.2%* | *5.0%* | *12.3%* | *12.3%* | *12.3%* | *12.3%* | *12.3%* | |
| **EBIT** | **$334** | **358** | **350** | **504** | **568** | **107** | **848** | **881** | **914** | **951** | **989** | |
| *EBIT Margin* | | | | *0* | *8.5%* | *5.0%* | *9.4%* | *9.4%* | *9.5%* | *9.6%* | *9.7%* | |
| EBIT *(1-Tax Rate) | $253 | 269 | 263 | 379 | 426 | 81 | 637 | 661 | 686 | 714 | 743 | |
| D&A | $234 | 244 | 265 | 274 | 224 | 46 | 267 | 268 | 269 | 267 | 266 | |
| Curent assets | $322 | 381 | 400 | 408 | 495 | 465 | 479 | 494 | 509 | 524 | 540 | |
| % of rev | | | 0 | 0 | | | | | | | | |
| Current liabilities | $361 | 386 | 420 | 528 | 610 | 610 | 620 | 639 | 658 | 678 | 698 | |
| % of rev | | | 0 | 0 | | | | | | | | |
| NW | ($38) | (5) | (20) | (120) | (115) | (145) | (141) | (145) | (149) | (154) | (159) | |
| CNW | | 33 | (14) | (100) | 5 | (30) | (4) | (4) | (4) | (4) | (5) | |
| CapEx | ($102) | (124) | (225) | (230) | (176) | (69) | (272) | (280) | (250) | (258) | (265) | |
| **FCF** | **$385** | **422** | **288** | **322** | **479** | **28** | **636** | **653** | **710** | **728** | **748** | |
| DFCF | | | | | | 28 | 609 | 583 | 590 | 564 | 540 | 8,657 |

| | |
|---|---|
| EV | 12,048 |
| Implied Equity Value | 11,210 |
| per share | 114 |

| **Revenue Assumptions** | |
|---|---|
| Growth rate | 3% |
| Terminal growth rate | 1% |
| **Others** | |
| Gross Profit | 40% |
| D&A % of rev | 90% |
| | 10% |
| Tax Rate | 25% |
| CapEx when expanding | 3.0% |
| Capex normal | 2.6% |
| WACC | 7.30% |
| Fully diluted shares out. | 98.46 |

| Year | Discount Rate |
|---|---|
| 2025 Q4 | 0.125 |
| 2026 | 0.625 |
| 2027 | 1.625 |
| 2028 | 2.625 |
| 2029 | 3.625 |
| 2030 | 4.625 |
| TV | 4.625 |

For the discounted cash flow (DCF) analysis, I assume a **3% annual revenue growth rate over the next five years**. This assumption is below the company's growth rate over the past several years and reflects a **more conservative outlook**, given management's recent guidance that **comparable sales growth is expected to range between 0% and 2% in Q4 2025**.

Recent elevated comparable sales growth may have been partially influenced by **temporary external factors**, including **Kroger union strikes** and the **cyberattack on United Natural Foods in June**, which disrupted supply for **Whole Foods**, a key competitor. However, it is unlikely that these factors fully explain the sustained strength in comparable sales, as the cyberattack primarily affected results in the third quarter and the Kroger strikes were relatively limited in scope. As a result, I do not attribute the entirety of recent comparable sales growth to these one-time events.

In addition to organic growth, I expect the company to continue its **new store expansion strategy** in line with its long-term objective of operating **1,000 stores in the U.S.** While management has indicated an intention to grow the store base by approximately **10% annually**, I assume a more conservative pace of **approximately 33 net new store openings per year**, which is below the implied 10% growth rate.

Finally, industry-level tailwinds support modest long-term growth assumptions. The **organic food market is projected to grow at a 5.9% CAGR through 2029**, providing a favorable backdrop for Sprouts' expansion. Additionally, **food-at-home prices are expected to increase by approximately 1.7% in 2026**, which may further support revenue growth through pricing and mix, despite potential volume pressures.

## Sensitivity Analysis

| | Revenue Next Five Years Growth Rate | | | | | |
|---|---|---|---|---|---|---|
| | 114 | 1% | 2% | 3% | 4% | 5% |
| W | 6.3% | 124 | 130 | 136 | 142 | 148 |
| A | 6.8% | 113 | 119 | 124 | 129 | 135 |
| C | 7.3% | 104 | 109 | **114** | 119 | 124 |
| C | 7.8% | 97 | 101 | 105 | 110 | 115 |
| | 8.3% | 90 | 94 | 98 | 102 | 107 |

| | Terminal Growth Rate | | | | | |
|---|---|---|---|---|---|---|
| W | 114 | 0% | 0.5% | 1.0% | 1.5% | 2.0% |
| A | 6.3% | 118 | 126 | 136 | 148 | 162 |
| C | 6.8% | 109 | 116 | 124 | 134 | 145 |
| C | 7.3% | 101 | 107 | **114** | 122 | 131 |
| | 7.8% | 94 | 99 | 105 | 112 | 120 |
| | 8.3% | 89 | 93 | 98 | 104 | 110 |

# Investment Thesis, Catalysts & Investments Risks

## Investment Thesis

I believe **Sprouts Farmers Market** is materially undervalued at current levels. The stock experienced a sharp decline in 2025, driven in part by a miss versus consensus expectations and more cautious forward guidance. As a result, the share price has fallen from approximately **$173 in 2024 to around $80 currently**.

Despite this pullback, I expect Sprouts to continue expanding its footprint and capturing incremental market share. The company is well positioned to benefit from sustained consumer demand for healthy and organic food, which provides a competitive advantage given its differentiated product offering and strong brand identity centered on a farmers-market-style store format. Growth is expected to be driven by a combination of improving comparable-store sales and continued nationwide store expansion over the coming years.

In addition, Sprouts' strategy of offering high-quality, premium products at competitive prices enables it to effectively compete across a broad range of grocery retailers while maintaining a differentiated value proposition.

## Catalysts

- **Reacceleration in Comparable-Store Sales** A recovery in comparable-store sales growth would alleviate concerns around demand softness and support a re-rating of the stock.
- **Positive Guidance or Store Expansion Updates** More constructive management guidance or evidence of strong unit economics from new stores would reinforce confidence in the long-term growth strategy.

## Investment Risks

- **Macroeconomic Sensitivity -** Any deterioration in U.S. economic conditions that negatively affects consumer spending could materially impact Sprouts. Organic food is typically priced at a premium relative to conventional food, and demand may decline during periods of economic slowdown or recession as consumers trade down to lower-cost alternatives
- **Slower New Store Expansion -** If Sprouts' management reduces its focus on new store openings, this could significantly lower the company's forecasted long-term growth. Additionally, underperformance of newly opened stores relative to sales expectations would negatively impact revenue growth and profitability.
- **Competitive Pressure -** As organic and health-focused food becomes more mainstream, increased competition is likely, both from existing grocery chains expanding their organic offerings and from new entrants. Moreover, Whole Foods' recent price reductions reduce one of Sprouts' historical competitive advantages. While Sprouts' exclusive focus on health-oriented products may partially offset this pressure, intensified competition remains a key risk.
- **Securities Fraud Lawsuit -** The lawsuit alleges that Sprouts Farmers Market and certain executives made false and misleading statements about the company's growth prospects and sales performance, harming investors who bought the stock. Investors who purchased or otherwise acquired Sprouts securities (including sellers of put options) between June 4, 2025 and October 29, 2025 may be eligible to join the class action.